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Chapter - 9

Financial Management

Topics

- Meaning, Role, Objectives, Financial decisions
- Financial planning, Capital Structure, fixed and working capital

Meaning

- Business finance refers to the money required to carry out business activities
- Finance is required in all business activities
- It is concerned with the acquisition, use and distribution of funds for projects

Financial Management is concerned with:

a) Decision regarding procurement of finance
b) Decision regarding utilisation of finance
c) Decision regarding distribution of surplus

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Definition

Financial management involves the application of general management principles to particular financial operations.

~ Howard and Upton

Role of financial Management

- Financial management influences a company's financial health. Financial statements, such as the balance sheet and profit and loss account, reveal the company's financial situation and health.

Financial Management

1) Size and composition of fixed assets
   a) Fixed assets investment, How much to invest
   b) Composition of fixed assets, How much to expense
2) Size and composition of current assets
3) Amount of long & short term loans

Ex:- Total funds 10 cr.

- Long-term
  - Equity Shares
  - Preference Shares
- Short-term
  - Public deposits
  - Short term loans

3 cr.

4) Breakup of long term financing into debt & equity.

Ex:- 7 Cr. - long term finance

Equity	Debt
⇒ Equity share	⇒ Debentures
⇒ preference share	⇒ long term loans
⇒ Reserves	
4 Cr. ₹	3 Cr. ₹

5) All items in the P/L account

Objectives of financial management

- The main objective of financial management is to maximize the wealth of share holders.

i) Increasing the market price of shares
ii) Increasing the earnings per share {EPS}

Financial Decision

- Financial decisions are those made by an organisational regarding its finances

- Investment / Capital budgeting decision
- Financing decision
- Dividend decision

Investment / Capital budgeting decision

Long-short term investments on fixed assets
how much to invest?

Importance

=> Long term growth
=> large amount of fund involved
=> Risk involved
=> Irreversible decision.

Factors affecting investment Decisions

1) Cash flow of the project
2) Return on investment (ROI)

Eg:- Project 'A' — 5 Cr: — 5 Yrs
Project 'B' — 5 Cr. — 5 Yrs

After 5 yrs => 7.5 Cr., After 5 yrs => 6 Cr.
Higher return

3) Investment Criteria.
How much risk, return, cashflow etc is calculated

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Financial Decision

main focus on the sources of funds (arrangement of funds)

- Shareholders funds [Equity Capital]
- Borrowed funds [Debt Capital]

Factors affecting financing decision

1) Cost :- The price of raising money from various sources varies financial manager usually choose the cheapest source

2) Risk :- The risk that is connected to each of the sources varies. Borrowed funds are riskier than owner's funds. So finance manager has to choose for organisation

3) Cash flow position :- A greater cash flow situation may make debt financing easier than equity funding. Understanding the cash flow of an organisation is essential when considering financing choices. Since it immediately impacts its ability to meet financial obligations and make strategic decisions

4) Control Consideration :- Refers to a factor in financial decision making that focuses on who maintains authority & management power within a company when a business needs to raise funds, it must choose between equity and debt.

- If existing owners prioritize full management and authority then they'll choose debt.

5) Flotation Cost :- Are mandatory expense a company incurs while raising capital whether they choose equity or debt.

6) Fixed operating Cost :- It is a expense that a company must pay regardless of whether its business is performing well or not Ex :- Rent, Salaries etc.

7) State of capital Market :- Refers to the current condition of the stock market, which dictates whether it is easier to raise funds through equity or debt.

Dividend Decision

A dividend decision involves determining how much of a company's net profit should be distributed to shareholders as dividends and how much should be kept in the business as reserves / reinvested earnings.

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Factors affecting dividend decision

1) Earnings

Dividends are paid from profits, therefore a company's earnings are an important factor in determining dividend decision. Companies with high and accurate earnings may announce high dividend rates.

2) Stability of Earnings

Refers to a company's ability to generate consistent and predictable profits over a period of time.

Companies with stable earnings often find it easier to declare consistent dividends.

Ex:-

(A)	(B)
2024 - 10 Cr.	2025 - 10 Cr.
2023 - 10.5 Cr.	2024 - 1.5 Cr.
2022 - 10.1 Cr.	2025 - loss
2021 - 10 Cr.	2026 - 0.5 Cr.
Stable Earning	Unstable Earning

3) **Cashflow position**

If cashflow's condition is good then it would be easier to give dividend

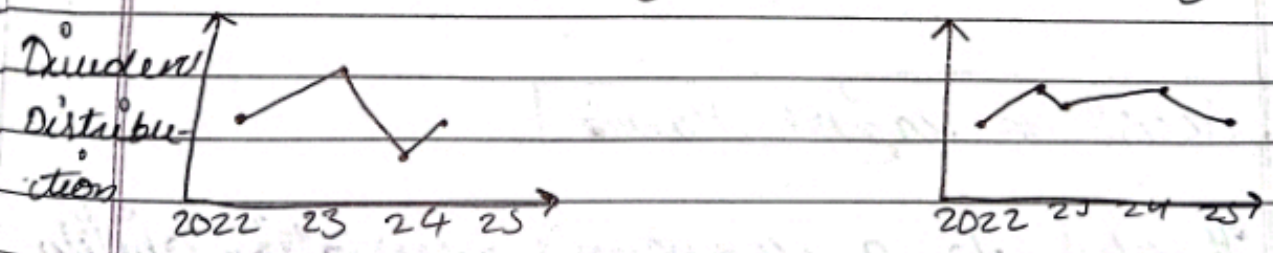
4) Growth Opportunities

When a company has such plans it requires significant capital for investment, therefore it often choose to retain more earnings as reserves instead of distributing them as dividends

5) Stability of dividends

It is a company's practice of maintaining a consistent dividend payout per share over time. Rather than company fluctuating wildly, companies aim to keep dividends

Ex:- Company A Company B



(fluctuation in dividend) (Stable dividend)

[won't trust easily] [Gains more trust]

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6) **Influence of Shareholders**

Refers to the specific needs and expectations of the investors regarding company payouts. If shareholders are individuals like retirees or middle class investors who rely on steady income, the company should focus on declaring dividends, If Shareholders are wealthy the company may choose to retain more earning as reserves for future growth.

7) **Taxation Policy**

If government tax rate is high, company tend to declare lower dividend and keep higher reserves. When tax is lower company can afford to pay out higher dividents

Ex:- Tax ↑ Dividend ↓, Tax ↓ Divi. ↑

8) **Access to capital Market**

It refers to a company's ~~reputation~~ ability to easily raise funds through the stock market. Based on its reputation and current market conditions. If company is well known they pay higher dividend

9) Legal Constraints / Regulatory framework

These are mandatory laws, rules and regulations - such as those set by the companies Act or SEBI - that business must follow

10) Contractual Constraints

Sometimes the lender may impose certain restrictions on the payment of dividends in future while granting loans to a company.

11) Stock market Reaction

It refers how a ~~stock~~ company's share price responds when it announces its dividend payouts.

Financial Planning

- Financial planning is required for developing a financial blueprint for a business firm
- The main objective is to ensure the sufficient funds are available at the right time
- If sufficient funds are not available, the company will be unable to meet its

commitments and carry out plans

- On the other hand, having more funds available will increase cost and encourages wasteful spending.

Financial planning aspects

- Estimation of the quantity of finance or the total finance requirements of the business
- Determine the pattern of financing, i.e. the form and proportion of various securities to be issued in order to raise the required amount.
- Financial utilisation is achieved through the establishment of policies and procedures.

Objectives of financial planning

a) To ensure availability of funds whenever required

b) To see that the firm does not raise resources unnecessarily

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Importance / Significance of financial planning

1) Makes a firm better prepared for future.
2) Helps in ~~to~~ avoiding business shocks and surprises.
3) Coordinates various function.
4) Proper utilisation of finance.
5) Links present with future.
6) Link b/w investment and financial decisions.
7) Makes evaluation of actual performance easier.

Capital Structure

Total Capital = 100 Cr. ⇒ Ex:-
(In firm)

Equity money?	Debt ?
maybe: 50%	50%
70%	30% etc....

- Capital Structure refers to the mix between owners and borrowed funds. It gives the ratio of debt capital and equity capital in the capital Structure.

- Formula ⇒ Capital Structure = $\frac{\text{Debt}}{\text{Equity}}$

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LEVI"

Financial leverage or Trading on equity

~~This reffered as trade~~

- It is defined as the increase in Earning per share (EPS) that arises when a company includes borrowed fund (debt) in its capital structure alongside equity.

- **Financial leverage = Debt / Equity**

Q) Numerical 1, Situation - 1
Total Capital = Rs. 50 lac
Equity Capital = Rs 50 lac (5,00,000 shares @ 10 each)
Debt = Nil
Tax rate = 30% p.a
Earning b4 interest and tax [EBIT] = Rs. 7,00,000

Sol:

Format :-

EBIT
(-) Interest
EBTT [Earning b4 tax]
(-) Govt Tax
EAT [Earning After tax]

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- $EPS = \frac{EBIT}{\text{No. of Total Equity Shares}}$
- $ROI = \frac{EBIT}{\text{Total Investment}} \times 100$ [ROI > Int. on debt]

ii) Situation

Total Capital ⇒ ₹ 50,00,000
Equity Capital ⇒ ₹ 40,00,000 [400K shares 10 each]
Debt ⇒ ₹ 10,00,000
Tax rate ⇒ 30% p.a
Int. on debt ⇒ 10%
Earning b4 int. & tax = ₹ 7,00,000

iii) Situation

Total Capital = ₹ 50,00,000
Equity Capital = ₹ 30K [30K shares @ 10 each]
Debt = ₹ 20,00,000
Tax rate = 30% p.a
Int. on debt = 10%
EBIT = ₹ 70K

$7,00,000 \times \frac{30}{100}$

Sol-i)

EBIT =	7,00,000
(-) Interest	—
EBT	7,00,000
(-) Govt Tax	2,10,000
EAT	4,90,000

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8 Case = i)

EBIT	7,00,000
Interest	(-) 1,00,000
[EBT]	6,00,000
Cout Tax	(-) 1,80,000
[EAT]	4,20,000

Case = iii)

EBIT	7,00,000
Int	2,00,000
[EBT]	5,00,000
Cout Tax	1,50,000
[EAT]	3,50,000

$$EPS = \frac{EAT}{\text{no. of Shares}}$$

Sit - i	Sit - ii	Sit - iii
4,90,000	4,20,000	3,50,000
5,00,000	4,00,000	3,00,000
⇒ 0.98	⇒ 1.05	⇒ 1.16

Maximum EPS

Sit = iii) $ROI = \frac{EBIT}{TI} \times 100$

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$ROI = \frac{7,00,000}{50,00,000} \times 100 = 14\%$

ROI > Int. on D

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∴ Situation iii is favourable because
ROI = 14% ≥ Int. on Debt = 10%

Factors Determining Capital Structure

1) Cash flow Position : Companies with stable and strong cashflows can more easily service debt obligations.

2) Interest Coverage Ratio : Higher ratio indicates a better ability to handle debt interest
⇒ $ICR = \frac{EBIT}{Interest}$

3) Debt service coverage ratio [DSCR] :- This assesses the ability to repay both interest and principles amount

⇒ DSCR = PAT + Depreciation + ~~Taxes~~ Interest + non cash exp.
Preference Dividend + Int + Repayment obligation

4) Return on Investment (ROI) :- When ROI exceeds the interest on debt, it is considered favourable for shareholders.

- ROI > Int on debt = Debt ↑
- ROI < Int on debt = ~~Debt~~ Equity ↑

5) Cost of debt :- Lower interest rates on loans make borrowing a more attractive financing option

- Interest on debt ↑ Debt ↓
- " " " ↓ Debt ↑

6) Tax rate :- Since interest payments are tax deductible, a higher tax rate can make debt more cost efficient

- ~~Int paid Ons~~ Tax rate ↑ Debt ↑
- Tax rate ↓ ~~Debt~~ Equity ↑

7) ~~Flotation~~ Equity cost :- when a company raises money through equity, it incurs various expenses, such as issuing a prospectus, paying bankers, broker commissions, and underwriting fees.

- Debt ↑ EPS ↑ ✓
- Debt ↑ EPS ↓ ×

8) Flotation cost :- The expenses ~~relating~~ related to issuing securities influence the decision between debt and equity

9) Risk Consideration :- Higher debt levels increase financial risk, which must be carefully weighted

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10) Flexibility :- Maintaing some unused borrowing capacity allows the company to handle future financial emergencies

11) ~~Control~~ :-

Fixed Capital

Fixed capital is money invested by a company in fixed assets that will be used over an extended period of time. Thus, fixed capital is used to meet the business's permanent long term needs

4) Nature of Business

Manufacturing firms needs more fixed capital for machinery & infrastructure than trading business

2) Scale of Operations

Large scale business typically require a greater investment in fixed assets compared to smaller one.

3) Choice of Techniques

a) Capital intensive , fixed capital ↑
b) Labour intensive , fixed capital ↓

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4) Technology upradation

Industries experiencing rapid technological change require more frequent, costly machinery Update.

- Latest & high cin technology → fixed cap. ↑
- Low & Outdated " → " ↓

5) Growth prospects

Companies aiming for expansion or higher production capacity needs larger investment in plants and equipments.

6) Diversification

If a company decides to diversify its business by manufacturing new products or entering new markets, it will need to acquire additional fixed assets

Diversity ⇒ Fixed Capital ↑

7) Availability of fenance and leasing facility

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This acts as a crucial factor that can reduce the immediate requirement for fixed capital

Ex:- Taking rent

8) Level of Collaboration or joint venture

Companies that prefer collaboration or joint ventures will require less fixed capital

9) **Working Capital**

It is the defined as the capital required to meet the day to day operational expenses of a business

Gross working Cap.	Net working Cap.
Investment in all the current assets is called as GWC	The excess of current assets over current liabilities is called NWC

Factors affecting requirement of WC

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1) Nature of business :-

Trading and service industries require less working capital compared to manufacturing

2) Scale of Operation :-

large scale business generally demand more working capital than small scale

3) Business Cycle :-

During a boom period higher sales and production lead to an increased need for working capital while a recession reduces the requirement.

4) Seasonal factors :-

Business dealing in seasonal products see spikes in working capital needs during peak season.

5) Technology Used :-

Capital intensive production often requires less working capital than labour intensive method.

6) Production Cycle :-

A longer production cycle requires more working capital because funds are tied up for a longer duration.

7) Credit Availability :-

Having easier access to credit from suppliers can reduce the needs for immediate working capital.

8) Operating Efficiency :-

Higher efficiency in managing resources lowers costs & consequently reduces the need for working capital.

9) Availability of raw materials :-

If materials are available there's less need to stock up, reducing working capital requirements.

10) Level of competition :-

Intense competition often requires maintaining higher supplies, which increases the working capital needed.

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11, Inflation :-

Rising prices increases the cost of raw materials and labor, leading to higher working capital requirements

12, Growth prospects :-

If any firm want to grow in future ~~than~~ it will require a large amount of working capital